higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE

FINANCIAL ACCOUNTING N4

6 JUNE 2019

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QUESTION 1

Employees' names			KHATHU	SEDZANI	TOTAL
Wages	Normal	Rate	**R130**	**R140**	–
		Hours	**80**	**80**	160
		Total	✓R10 400	✓R11 200	✓R21 600
	Overtime	Rate	✓R195	✓R210	405
		Hours	**20**	**18**	
		Total	✓R3 900	✓R3 780	✓R7 680
Gross wages			✓R14 300	✓R14 950	R29 280
Deductions	Medical		**900**	**1 120**	
	Pension		✓780	✓840	1 200
	UIF		✓104	✓112	108
	Income tax		✓✓1 732	1 865✓	2 451,60
Total deductions			2 558,80	2 830,80	5 389,60
Net wages			4 591,20	4 449,20	9 040,40
Company contribution	Medical		**900**	**1 120**	
	Pension		✓780	✓840	810
	UIF		✓104	✓112	108

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QUESTION 2

2.1 **CASH RECEIPTS JOURNAL OF JAMILA BOUTIQUE STORE ON 30 SEPTEMBER 2018**

Doc no	Day	Details	Fol	Bank	Creditors control	Sundry amount	Sundry details
	01	TOTALS	b/f	✓108 087			
		Nkuna Suppliers		✓379 383	✓379 383		
		K Nema		✓14 250		14 250	Rent income✓
		Pay a Pal Bank		✓404 850		404 850	Investment matured✓
		Pay a Pal Bank		✓1 935		1 935	Interest on current account✓
		Virgin Mobile		✓2 700	✓2 700		
		Total		911 205			
		Balance b/d		✓877 032			

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2.2 **CASH PAYMENTS JOURNAL OF JAMILA BOUTIQUE STORE ON 30 SEPTEMBER 2018**

Doc no	Day	Payee	Fol	Bank	Debtors control	Sundry amount	Sundry details
	30	**Total**	**b/f**				
		Santum Insurers✓		13 200		✓13 200	Insurance✓
		M Zwoitwa		6 375	✓6 375		
		Bank		8 970		✓8 970	Interest on bank overdraft✓
		Bank		5 628		✓5 628	Bank charges✓
		Balance c/d		877 032			
		Total✓		911 205			

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2.3 **BANK RECONCILIATION STATEMENT OF JAMILA BOUTIQUE STORE AS ON 30 SEPTEMBER 2018**

	DR	CR
Credit balance as per bank statement		985 313
Credit outstanding deposit		✓613 156
Debit correction of error		✓6 648
Debit outstanding cheques:		
No. 07	✓185 985	
No. 08	✓499 350	
No. 13	✓1 050	
No. 20	✓19 050	
No. 41	✓2 700	
No. 42	✓450	
Credit correction of error	✓19 500	
Debit balance as per bank account	877 032	
	1 605 117	1 605 117

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QUESTION 3

3.1 **INCOME STATEMENT OF DITIKE TRADERS FOR THE YEAR ENDED 28 FEBRUARY 2018**

Sales (506 563 – 14 450)		✓✓492 113
Cost of sales		✓269 101
Opening stock	✓27 194	
Purchases	✓✓256 563	
Carriage on purchases	✓6 594	
Import tariffs	✓16 250	
Less: Closing stock	✓37 500	
Gross profit		✓223 012
Other income		✓43 368
Interest on fixed deposit (438 + 2 187)	✓✓2 625	
Bad debts recovered (244 + 187)	✓✓431	
Rent income(32 500 + 6 500)	✓✓39 000	
Provision for bad debts adjustment	✓1 312	
Gross income		266 380
Less: Expenses		53 431
Interest on loan (1 875 + 3 594)	✓✓5 469	
Bad debts (1 250 + 250)	✓✓1 500	
Bank charges	✓75	
Provision for discount allowed adjustment	✓2 124	
Stationery (1 188 – 375)	✓✓813	
Depreciation (391 + 10 313 + 27 987)	✓✓✓✓38 691	
Discount allowed	✓3 125	
Telephone (1 362 + 272)	✓✓1 634	
Net profit		✓212 949

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3.2 3.2.1

PROPERTY, EQUIPMENT AND VEHICHLE			
	GROSS CARRYING AMOUNT	**ACCUMULATED DEPRECIATION**	**CARRYING VALUE**
Land and buildings	✓428 125	–	✓4 288 125
Equipment	✓147 750	✓49 628	✓98 122
Vehicle	✓156 250	✓63 438	✓92 812
	732 125	113 066	✓619 059

RECONCILIATION OF CARRYING AMOUNT			
	LAND AND BUILDINGS	**EQUIPMENT**	**VEHICLE**
Balance at the beginning of the year	✓428 125	✓✓118 687	✓✓103 125
Addition at cost	–	✓7 813	–
Depreciation	–	✓ (28 378)	✓(10 313)
Balance at the end of the year	428 125	98 122	92 812

3.2.2

TRADE AND OTHER RECEIVABLES			✓29 443
Trade debtor (22 625 – 250)		✓✓22 375	
Provision for bad debts		✓(1 119)	
Net trade		✓21 256	
Accrued income		✓8 187	
Interest on fixed deposit	✓2 187		
Rent income	✓6 500		

3.2.3

TRADE AND OTHER PAYABLES			✓68 179
Creditors control		✓64 938	
Accrued expense		✓3 241	
Interest on loan	✓2 969		
Telephone	✓272		

3.2.4

CAPITAL		✓568 986
Balance at the beginning of the year	✓513 250	
Profit	✓212 949	
Less: Drawings	✓15 000	

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QUESTION 4

4.1 **CASH FLOW STATEMENT**

Cash flow from operating activities		✓62 690
Cash received from client	✓445 125	
Cash paid to supplies	✓(335 500)	
Cash generated from operation	✓109 625	
Interest income	✓8 065	
Interest paid	✓(11 250)	
Drawings	✓(43 750)	
Cash flow from investing activities		✓(43 750)
Addition to equipment	✓(15 625)	
Addition to vehicle	✓(31 250)	
Proceeds on equipment	✓4 375	
Proceeds on vehicle	✓11 250	
Investment made	✓(12 500)	
Cash flow from financing activities		✓(12 500)
Capital contribution		
Repayment of loan	✓(12 500)	
Net changes in cash		✓(6 440)
Cash and cash equivalents: beginning of the year		✓6 812
Cash and cash equivalents: end of the year		✓13 250

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4.2

NOTE 1			
4.2.1	CASH RECEIVED FROM CLIENTS		✓445 125
	Sales	✓437 500	
	Decrease in debtor	✓7 625	
4.2.2	CASH PAID TO SUPPLIERS AND EMPLOYEES		(335 500)
	Sale	✓437 500	
	Profit for the year	✓(76 188)	
	Expenses for the period	(361312.5)	
	Interest income	✓(8 063)	
	Interest paid	✓11 250	
	Depreciation (563 + 1 625)	✓30 375	
	Increase in stock	✓(13 625)	
	Increase in creditors	6 812✓	
	Profit on sale of equipment	✓(2 187)	

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	Loss on sale of vehicle	✓1 250	

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QUESTION 5

5.1 **DEPARTMENTAL PURCHASE ACCOUNT**

Details	Food	Clothing	Total	Details	Food	Clothing	Total
Balance	✓390 000	✓196 875	586 875	Purchases returns	✓3 000		3 000
Addition		✓5 000	5 000				
Transfer				Donations	✓3 000	✓5 000	8 000
				Drawings		✓500	500
				Balance c/d	✓384 000	✓196 375	✓580 375
	390 000	201 875	591 875		390 000	201 875	591 875
Balance b/d	384 000	196 375	580 375✓				

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5.2 **DEPARTMENTAL TRADING STATEMENT**

	Total	Food	Clothing
Sales	983 400	✓567 900	✓415 500
Cost of sales	535 712	✓293 525	✓242 187
Opening stock	298 350	✓146 475	✓151 875
Purchases	580 375	✓384 000	✓196 375
Carriage on purchases	38 525	✓19 550	✓18 975
		550 025	367 225
Less: Closing stock	450 412	✓256 500	✓193 912
Gross profit	447 688	✓274 375	✓173 313

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QUESTION 6

6.1 Dr **TRADING ACCOUNT** Cr

DOC	DAY	DETAILS	FOL	AMOUNT	DOC	DAY	DETAILS	FOL	AMOUNT
		Opening stock		✓3 720			Sales		✓74 220
		Purchases		✓34 680			Closing stock		✓7 680
		Profit and loss		✓43 500					
				81 800					81 900

6.2 Dr **MEMBERSHIP FEES** Cr

DOC	DAY	DETAILS	FOL	AMOUNT	DOC	DAY	DETAILS	FOL	AMOUNT
		Accrued income		✓1 800			Income received in advance		✓9 000
		Income received in advance		✓900			Bank: 2017 2018 2019		✓1 350 ✓45 000 ✓900
		Refund (bank)		✓1 350					
		Income and expenditure		✓54 450			Membership fee written off (1 800 – 1 350)		✓450
							Accrued income (4 × 450)		✓1 800
				58 500					58 500

6.3 **INCOME AND EXPENDITURE**

Doc	Day	Details	Fol	Amount	Doc	Day	Details	Fol	Amount
		Membership fees written off		✓450			Membership fees		✓54 450
		Rent paid		✓8 000			Trading account		✓43 500
		Refreshments		✓10 800			Donation		✓3 000
		Water and electricity		✓3 000			Interest on savings		✓1 800
		Sundry expenses		✓1 100					
		Interest on loan		✓9 000					
		Accumulated funds		✓74 000					
				102 750					102 750

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TOTAL: 200